Foundations of Employee Motivation

Chapter 5 | Expanded classroom edition

From motivational theories to real organizational practice

Learning outcomes

By the end of the chapter, students should be able to...

Conceptual mastery

- Define direction, intensity, and persistence.
- Distinguish intrinsic and extrinsic motivation.

Theory application

- Compare content and process theories.
- Diagnose motivation problems in workplace cases.

Managerial action

- Use job design and reward principles.
- Design interventions based on evidence.

Critical thinking

- Recognize individual differences.
- Separate motivation, ability, and resource problems.

Why study motivation?

Motivation affects behavior, performance, and retention.

Organizational relevance

- Shapes effort and persistence.
- Influences service quality and innovation.
- Affects absenteeism, turnover, and citizenship behavior.

Managerial relevance

- Helps explain uneven performance.
- Supports better job and reward design.
- Encourages evidence-based people practices.

What is motivation?

Motivation describes the psychological processes underlying behavior or thought.

Direction

- What is the employee focusing on?
- Example: solving a customer problem rather than checking social media.

Intensity

- How much effort is invested?
- Example: the energy used to resolve a complex service complaint.

Persistence

- How long does effort continue?
- Example: repeatedly testing a difficult software fix.

Intrinsic and extrinsic motivation

Different motives can coexist.

Extrinsic motivation

- Money, incentives, recognition, promotion, status.
- Useful when rewards are credible and valued.
- Risk: narrow focus or crowding out interest.

Intrinsic motivation

- Enjoyment, mastery, meaning, pride, curiosity.
- Often supported by autonomy and feedback.
- Can be strengthened through meaningful work.

Mini-case: the reluctant analyst

A capable employee is meeting minimum expectations.

Observed situation

- The analyst receives a good salary.
- Work is repetitive and feedback is rare.
- The employee stops volunteering for new projects.

Questions for students

- Is this necessarily a lack of motivation?
- What information would you collect?
- Which job features might be redesigned?

Content theories versus process theories

Two complementary ways of understanding motivation.

Content theories

- Ask: What needs or factors energize behavior?
- Examples: Theory X/Y, Maslow, McClelland, SDT, Herzberg.

Process theories

- Ask: How do people decide where to invest effort?
- Examples: equity, justice, expectancy, and goal-setting.

McGregor’s Theory X and Theory Y

Managerial assumptions can shape employee experiences.

Theory X

- Employees are assumed to dislike work.
- Close supervision is emphasized.
- Rewards and punishments are central.

Theory Y

- People can be self-directed.
- Employees can accept responsibility.
- Creativity can emerge under supportive conditions.

Theory X/Y in practice

The same workforce can experience different management climates.

Micromanagement climate

- Every action is monitored.
- Employees optimize for compliance.
- Initiative may decline.

Empowerment climate

- Outcomes are clear.
- Employees have discretion.
- Learning and accountability are encouraged.

Balanced approach

- Support autonomy with clarity.
- Use supervision where risk requires it.
- Avoid treating assumptions as facts.

Theory X/Y organizational illustration

Call-centre supervision and employee initiative.

Scenario

- A call-centre manager tracks every minute and requires approval for small customer accommodations.
- A second manager sets service standards but allows trained agents discretion.

Discuss

- Which behaviors might each system encourage?
- What safeguards can preserve service quality without excessive control?

Maslow’s Need Hierarchy

A diagnostic lens—not a rigid staircase.

Five needs

- Physiological: basic living needs.
- Safety: physical, psychological, and employment security.
- Belonging: relationships and inclusion.
- Esteem: respect, recognition, confidence.
- Self-actualization: realizing potential.

Managerial implication

- Employees may have multiple active needs.
- Needs vary across people and situations.
- Ask employees rather than assuming what they value.

Maslow in the Indian workplace

Needs can change across career stages.

Early career

- Income stability and safe conditions.
- Belonging in a new team.
- Supportive onboarding.

Mid-career

- Recognition and growth.
- Greater responsibility.
- Work–life flexibility.

Experienced employees

- Meaningful contribution.
- Mentoring and legacy.
- Autonomy and mastery.

Maslow case discussion

A new employee in a rapidly growing firm.

Situation

- The employee receives competitive pay but has unclear expectations, no peer network, and little feedback.
- Performance drops after the first few months.

Diagnose

- Which needs may be unmet?
- What low-cost interventions could a manager try?
- How would you evaluate whether the intervention worked?

McClelland’s Acquired Needs Theory

Achievement, affiliation, and power.

Achievement

- Prefers challenging but attainable goals.
- Values feedback and progress.
- Example: process-improvement champion.

Affiliation

- Values cooperation and positive relationships.
- Thrives in collegial climates.
- Example: peer mentor or team coordinator.

Power

- Wants to influence or develop others.
- Can be socialized and constructive.
- Example: coach who mobilizes a team.

Matching roles to acquired needs

Motivation can be supported through role fit.

Achievement-oriented

- Give stretch projects with measurable outcomes.
- Provide timely, specific feedback.

Affiliation-oriented

- Use team projects and buddy systems.
- Build respectful collaboration norms.

Power-oriented

- Offer coaching or coordination responsibilities.
- Reward responsible influence, not domination.

Self-Determination Theory

Three innate psychological needs support motivation and well-being.

Competence

- Feeling capable and effective.
- Supported through training, tools, and feedback.

Autonomy

- Having meaningful choice and discretion.
- Supported through empowerment and flexibility.

Relatedness

- Feeling connected and valued.
- Supported through inclusion and supportive relationships.

SDT in practice

A workplace that supports competence, autonomy, and relatedness.

Example practices

- Structured onboarding and coaching.
- Employee participation in work methods.
- Peer learning communities and team rituals.

Warning

- Autonomy without resources can feel like abandonment.
- Team belonging should not require conformity.
- Feedback should support learning rather than humiliation.

Herzberg’s Motivator–Hygiene Theory

Removing dissatisfaction is not the same as creating satisfaction.

Hygiene factors

- Pay and working conditions.
- Policies and supervision.
- Interpersonal relationships.
- Job security and administration.

Motivators

- Achievement and recognition.
- Responsibility and meaningful work.
- Advancement and growth.
- The content of the job.

Herzberg in hospitality

Service employees experience both job context and job content.

Hygiene problem

- Payroll errors, understaffing, unsafe conditions, or poor supervision can create dissatisfaction.

Motivator opportunity

- Recognition for excellent guest recovery, responsibility for service improvements, and visible development pathways can create satisfaction.

Comparing content theories

Different theories highlight different motivational levers.

Needs and motives

- Maslow: broad categories of needs.
- McClelland: learned achievement, affiliation, and power.
- SDT: competence, autonomy, relatedness.

Job satisfaction

- Herzberg separates hygiene factors from motivators.
- The theories can be used together as diagnostic lenses.

Equity theory

People compare their inputs and outputs with relevant others.

Inputs

- Time, effort, education, experience, skills, emotional labour.

Outputs

- Pay, recognition, flexibility, assignments, status, development.

Comparison

- “Is my input–output ratio fair compared with others?”

Organizational justice

Fairness includes outcomes, procedures, and interpersonal treatment.

Distributive justice

- Are rewards and resources allocated fairly?

Procedural justice

- Was the decision-making process fair and consistent?

Interactional justice

- Were people treated with dignity and respect?

Justice during restructuring

How a decision is implemented can affect reactions.

Scenario

- A company restructures teams and removes some roles.
- Employees receive different levels of explanation and notice.

Questions

- What is the distributive issue?
- What would procedural justice look like?
- How should managers communicate respectfully?

Voice and appeals

Employees want a voice in decisions affecting them.

Voice practices

- Consult employees before major changes where feasible.
- Explain criteria and constraints.
- Create channels for questions and suggestions.

Appeal practices

- Provide review or grievance mechanisms.
- Protect employees from retaliation.
- Close the loop on concerns.

Expectancy theory (Vroom’s Expectancy Theory

Motivation depends on expectancy, instrumentality, and valence.

Expectancy

- Can effort produce the required performance?
- Example: Do I have the training and tools?

Instrumentality

- Will performance produce the promised outcome?
- Example: Are incentives actually paid?

Valence

- Do I value the outcome?
- Example: Is the reward meaningful to me?

Expectancy case: sales incentives

A reward system can fail at any link.

Situation

- Sales staff believe extra effort can increase sales.
- However, incentive rules change frequently and payouts are delayed.
- Some employees do not value the reward offered.

Diagnose

- Expectancy problem?
- Instrumentality problem?
- Valence problem?
- What data would you collect?

Goal-setting theory

Specific and challenging goals can direct effort when conditions support them.

Conditions for effectiveness

- Ability and resources.
- Commitment to the goal.
- Feedback and progress monitoring.
- Participation in deciding how to achieve it.

Mechanisms

- Direct attention.
- Energize effort.
- Increase persistence.
- Encourage strategies and action plans.

SMART goals in organizational practice

Translate vague expectations into observable targets.

Vague goal

- “Improve customer service.”

Specific goal

- “Raise post-stay satisfaction from 4.1 to 4.4 over the next quarter.”

Safeguards

- Provide staffing, training, and feedback.
- Monitor unintended consequences.

Goal-setting risks

Targets can motivate—and also distort behavior.

Possible risks

- Gaming metrics.
- Unethical shortcuts.
- Excessive stress.
- Neglect of unmeasured work.
- Competition that harms cooperation.

Managerial response

- Use balanced measures.
- Review how targets are achieved.
- Allow learning and adjustment.
- Reward collaboration where appropriate.

Job enlargement and job rotation

Variety can expand knowledge and flexibility.

Job enlargement

- Adds tasks of comparable difficulty.
- Horizontal loading.
- May not create lasting motivation by itself.

Job rotation

- Moves employees across specialized roles.
- Builds broader knowledge and scheduling flexibility.
- Requires planning and support.

Job enrichment

Vertical loading increases responsibility and autonomy.

Enrichment practices

- Ownership of a complete work process.
- Greater decision authority.
- Recognition for improvements.
- Opportunities for advancement.

Example

- A bank employee moves from processing one transaction to owning a complete customer journey, with authority to resolve routine issues.

Job Characteristics Model

Five core characteristics influence psychological states and outcomes.

Core characteristics

- Skill variety.
- Task identity.
- Task significance.
- Autonomy.
- Feedback.

Psychological states

- Meaningfulness of work.
- Responsibility for outcomes.
- Knowledge of results.

Possible outcomes

- Intrinsic motivation.
- Job satisfaction.
- Work effectiveness.
- Lower stress when context supports the design.

Task significance

Employees are more likely to value work when they see its impact.

Example: hospital support staff

- A support employee who sees how timely coordination helps patients may perceive greater meaning than someone who sees only isolated administrative tasks.

Discussion

- How can managers make impact visible without exaggerating it?
- What feedback can connect daily tasks to service outcomes?

Autonomy and feedback

Freedom works best with clarity and information.

Autonomy

- Choice over methods, sequencing, and problem-solving.
- Requires capability, boundaries, and trust.

Feedback

- Direct, clear information about performance.
- Should be timely, specific, and oriented toward improvement.

Job crafting

Employees proactively shape tasks, relationships, and perceptions.

Task crafting

- Changing the number, scope, or nature of tasks.

Relational crafting

- Changing the quality or amount of interaction with others.

Cognitive crafting

- Reframing the meaning of tasks and relationships.

Job crafting in service work

Employees can reinterpret and improve the customer experience.

Illustration

- A hotel cleaner begins coordinating with the floor team and sees the role not merely as cleaning, but as helping patients, guests, or families experience a safe and welcoming environment.

Managerial support

- Allow safe experimentation.
- Recognize helpful initiative.
- Avoid adding invisible work without resources.

Idiosyncratic deals (i-deals)

Individually negotiated employment arrangements.

Possible forms

- Schedule flexibility.
- Location flexibility.
- Career development.
- Customized responsibilities.
- Compensation arrangements.

Example and caution

- An experienced employee negotiates hybrid work tied to clear deliverables.
- Managers should consider transparency and perceived fairness.

Motivation diagnosis framework

Do not label every performance problem as a motivation problem.

Diagnostic questions

- Does the employee know what is expected?
- Do they have the ability and resources?
- Are rewards credible and valued?
- Is the process fair?
- Is the job designed well?

Possible root causes

- Capability gap.
- Resource constraint.
- Role ambiguity.
- Unfair treatment.
- Low motivation.
- Poor job design.

Managerial checklist

A practical guide to motivating employees.

Before acting

- Clarify the problem.
- Listen to employee perspectives.
- Check resources and capability.
- Review fairness and consistency.

When designing solutions

- Combine hygiene fixes with motivators.
- Make rewards credible and valued.
- Build autonomy with support.
- Monitor unintended consequences.

Common mistakes managers make

Motivation interventions can fail when they are overly simplistic.

Mistakes

- Assuming money motivates everyone.
- Using targets without resources.
- Offering autonomy without support.
- Ignoring unfairness.
- Rewarding outcomes while overlooking methods.
- Treating all employees identically.

Better approach

- Diagnose before prescribing.
- Use employee voice.
- Adapt to individual and contextual differences.
- Evaluate results over time.

Putting the theories together

Motivation is a system rather than a single incentive.

Inputs

- Needs, values, attitudes, job characteristics, leadership, climate, resources.

Processes

- Fairness comparisons, expectancy judgments, goal commitment, feedback, voice.

Outcomes

- Effort, performance, engagement, citizenship, counterproductive behavior, turnover, customer satisfaction.

Revision quiz

Check your understanding.

Questions

- Which dimension means how long effort continues?
- Which theory emphasizes competence, autonomy, and relatedness?
- What is the difference between hygiene factors and motivators?
- Which expectancy component concerns the value of an outcome?
- What are the five core job characteristics?

Pair discussion

- Choose one question and explain the answer using an organizational example.

Key takeaways

What should managers remember?

Core insights

- People differ in needs and valued outcomes.
- Fairness and credible rewards matter.
- Effort requires capability and resources.
- Meaningful work and autonomy support intrinsic motivation.
- Job design is a practical motivational lever.

Final prompt

- What would you change first in an organization where employees are doing only the minimum required?